This article was downloaded by: [Selcuk Universitesi]
On: 21 April 2015, At: 03:10
Publisher: Routledge
Informa Ltd Registered in England and Wales Registered Number: 1072954
Registered office: Mortimer House, 37-41 Mortimer Street, London W1T 3JH, UK



Public Management Review
Publication details, including instructions for authors and subscription information:
http://www.tandfonline.com/loi/rpxm20

Performance and user satisfaction indicators in british local government

Paul Higgins
[a] Middlesex University Business School , The Burroughs, Hendon London, NW4 4BT, UK Phone: +44 (0) 2084112789 E-mail:
Published online: 18 Feb 2007.

To cite this article: Paul Higgins (2005) Performance and user satisfaction indicators in british local government, Public Management Review, 7:3, 445-466, DOI: 10.1080/14719030500181102

To link to this article: http://dx.doi.org/10.1080/14719030500181102

PLEASE SCROLL DOWN FOR ARTICLE

Taylor & Francis makes every effort to ensure the accuracy of all the information (the "Content") contained in the publications on our platform. However, Taylor & Francis, our agents, and our licensors make no representations or warranties whatsoever as to the accuracy, completeness, or suitability for any purpose of the Content. Any opinions and views expressed in this publication are the opinions and views of the authors, and are not the views of or endorsed by Taylor & Francis. The accuracy of the Content should not be relied upon and should be independently verified with primary sources of information. Taylor and Francis shall not be liable for any losses, actions, claims, proceedings, demands, costs, expenses, damages, and other liabilities whatsoever or howsoever caused arising directly or indirectly in connection with, in relation to or arising out of the use of the Content.

This article may be used for research, teaching, and private study purposes. Any substantial or systematic reproduction, redistribution, reselling, loan, sub-licensing, systematic supply, or distribution in any form to anyone is expressly

forbidden. Terms & Conditions of access and use can be found at http://www.tandfonline.com/page/terms-and-conditions

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

Abstract

One of the aims of the global trend of public sector reform over the past twenty years or so has been to improve confidence of citizens in the service securing responsibilities of the public sector. To this end, various public bodies have utilized performance indicators and user satisfaction surveys as a means of improving and monitoring the delivery of public services. This article examines the perceived virtues of performance/user satisfaction indicators in the context of British local government and, in particular, within the remit of the policies of best value and comprehensive performance assessment. Utilizing case study evidence of a local authority's implementation of best value, the article raises doubts about the validity and reliability of the two types of indicators and provides further grounds for questioning whether one should expect the data they provide to be compatible with one another.

Key words

Best value, comprehensive performance assessment, local government, performance indicator, user satisfaction indicator

PERFORMANCE AND USER SATISFACTION INDICATORS IN BRITISH LOCAL GOVERNMENT

Lessons from a case study

Paul Higgins

Paul Higgins
Middlesex University Business School
The Burroughs
Hendon
London, NW4 4BT, UK
Tel: +44 (0) 208 411 2789
E-mail: p.higgins@mdx.ac.uk

Routledge
Taylor & Francis Group

Vol. 7 Issue 3 2005 445–464
Public Management Review ISSN 1471-9037 print/ISSN 1471-9045 online
© 2005 Taylor & Francis
http://www.tandf.co.uk/journals
DOI: 10.1080/14719030500181102

INTRODUCTION

One of the most important areas of local government reform in Britain since the election of the Labour government in 1997 has been the policy of best value (BV). The policy of BV was legislated for in 1999 and has retained a firm foothold both as an area of policy reform in its own right and as a major building block for the subsequent and overarching policy of comprehensive performance assessment (CPA). CPA was announced by the then Department of Transport, Local Government and the Regions (DTLR) during the end of 2001 with the intention to build on BV to provide 'a framework for continuous improvement in the quality of local government services' (DTLR 2001: 23).

The key difference between the two policies is that whereas BV focuses on the performance improvement of the costs and quality of specific services, CPA presents an evaluation of performance within service areas and across the whole of local government (Andrews 2004). In capturing the entire remit of local government in these ways, the two policies can be seen to contain both the means to stimulate improvements in the delivery of local services and the mechanisms by which desired improvements can be confirmed and communicated.

This article is primarily concerned with the second of these elements and specifically the role performance/user satisfaction indicators play in confirming and communicating the performance of local authorities. In particular, the article examines, from a conceptual and case study basis, two related issues. First, the extent to which performance indicators and user satisfaction indicators are capable of creating valid and reliable performance information about local services. Second, why official evaluations of service performance might not emulate users' evaluations of service performance.

In investigating these issues, the article begins by providing a brief overview of the policies of BV and CPA and identifies the role performance/user satisfaction indicators play in evaluating and comparing local service performance within them. The article then proceeds to make a distinction between 'internal' and 'external' indicators of performance and, in particular, draws attention to seventeen statutory user satisfaction indicators in use in local government. Following this overview, the article moves on to discuss some of the conceptual limitations of performance/user satisfaction indicators. This discussion involves not only a brief consideration of the validity and reliability of both types of indicators but also how they can be seen to embody a relatively limited and consumerist approach to public involvement. The strength of these concerns are then assessed by drawing upon case study evidence of a unitary authority's implementation of a BV review of grounds maintenance and street cleansing services.

THE ROLE OF PERFORMANCE INDICATORS IN THE PROCESS OF PERFORMANCE COMPARISON

The policy of BV can be seen, as already noted, to provide a range of management and regulatory processes which are designed both to create and confirm continuous

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

improvements in local government services. In the first instance, the managerial processes designed to stimulate improvements in the delivery of local services are known as the 'four Cs' of 'challenge', 'compare', 'consult' and 'compete' and relate to a review process that was initially created to operate over a five-yearly cycle so that roughly 20 per cent of each authority's services were reviewed each year (DETR 1999). However, with the onset of CPA, this requirement was revoked in statutory instrument 2002/305 in order for local authorities to focus reviews on priority areas arising from their CPA and other considerations (ODPM 2003). Consequently, local authorities have been encouraged to take a 'proportionate' approach to reviews, to conduct them where costs are above average or performance levels low and, therefore, where most improvement can materialize (ODPM 2003).

For the policy of CPA, by way of contrast, local authorities are not so much required to follow a set of predetermined management processes, as in the case of the 'four Cs' of BV, but rather to follow or learn from the management practices of the better performing authorities (Audit Commission 2002a). According to the Audit Commission, CPA provides an opportunity to 're-energise councils' commitments to improvement, and will help them to focus their attention and resources on what must change if they are to become – and – remain excellent councils' (Audit Commission 2002a: 6). The types of practices the Audit Commission (2002b) identifies as leading to better performance include, for example, effective leadership, strong management, clear priorities that reflect local needs and cross-cutting partnership working (for a critical examination of the explanatory power of these elements, see Boyne and Enticott 2004).

In the second instance, the means by which the policies of BV and CPA are able to confirm and communicate the desired improvements of local authorities involves the actions of the evaluation and regulatory body the Audit Commission in its role as auditor and inspector of local government services (Audit Commission 1999, 2000, 2004a; OPSR 2003). For BV policy, the inspectorate's findings relate to individual BV reviews and result in two key judgements about the 'current' and 'likely future' performance of the reviewed service(s) (Audit Commission 2000). Current performance, for these purposes, is assessed as 'poor', 'fair', 'good' or 'excellent' and the prospects for likely future performance as 'poor', 'uncertain', 'promising' and 'excellent'. For CPA policy, meanwhile, each entire authority's performance is judged against a framework of largely pre-existing information across a range of services. These elements include council self-assessment, corporate assessment, financial auditor assessments and performance indicators (Rashman and Radnor 2005). From these, a council is awarded an overall judgement, based on a combination of current performance and ability to improve, of 'poor', 'weak', 'fair', 'good' or 'excellent' (Audit Commission 2002a).

The broader coverage of the CPA is supposed to provide more accessible and user-friendly information than the BV inspection report and is contained in its fullest form within the annually produced performance plan, which following its initiation in BV

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

policy, continues to be the principal means by which authorities report their priorities for improvement (ODPM 2003). Though the extent to which the quality of a diverse range of services provided by a large and complex organization can be accurately reduced to single word description and associated summary has been doubted (Wilson 2004). Indeed, in spite of the claimed improvements of CPA over BV it might even be the case that the public are more willing to accept the scores given to individual services or combination of services, as in the case of BV, than to the single score of an entire authority. It is equally revealing for the purposes of this article, therefore, that in terms of citizen satisfaction, Rouban's research (1995, in Bouckaert and Van de Walle 2003) found that, while there was a negative public perception of government in general, ratings of specific services were, nevertheless, positive.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

INTERNAL AND EXTERNAL INDICATORS OF PERFORMANCE

Central to auditors' and inspectors' judgements of local authorities' performance is a suite of performance indicators that provide data on specific aspects of service performance. In many respects, it is the *statutory* and *standardized* properties of performance indicators that make them a good basis for performance comparison/evaluation purposes. The statutory requirement that local authorities collect and publish performance/user satisfaction data ensures universal collection and the possibility of comparator groups, while the standardized nature of the indicators utilized ensures the compilation, analysis and presentation of numerical data. This second feature, therefore, provides a basis of quantification and ultimately performance comparison.

Usually, in discussions of BV and CPA, the local government performance indicators are differentiated in terms of whether they measure local authorities' overall corporate health or a number of specific service categories. The indicators can also be differentiated, however, in terms of whether they are 'internal' indicators of performance or whether they are 'external' indicators of performance (Kelly and Swindell 2002). While in the majority of cases, the suite of BV performance indicators can be thought of as 'internal' ones, in that they are monitored by administrators and directed at providing an objective measure of progress towards a mission, the Government has more recently stressed the importance of 'external measures' of performance, the data for which derive from user satisfaction surveys. This second batch of indicators reflect a concern that the 'public view matters' and that 'internal' measures of performance might not always measure the aspects of service rated most important by the public (DTLR 2002).

The importance that has been attached to the need to collect data from external performance indicators has not only been the preserve of the national government, however. 'Increasing user satisfaction' was ranked the most important of 9 possible perceived service outcomes by 249 BV lead officers with corporate responsibilities who were surveyed about their views on their authority's preparations for BV (Martin and

Hartley 2000). Similarly, the authors of the formal evaluation of the BV pilot programme (Martin *et al*. 2001) revealed that the two most highly used methods of public consultation by piloting authorities were users' surveys (36 per cent) and residents' surveys (25 per cent). More recently, the Audit Commission, in a document discussing its revised proposals for CPA, concluded that in the future performance assessments would seek to draw on better data and information 'on user and resident satisfaction and information about the way in which local authorities use such data to help shape the design and delivery of local services' (2004b: 35).

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

User satisfaction indicators

In the 2001/2 BV performance indicator guidance (DTLR 2002) the Labour government reiterated its intention to undertake user satisfaction surveys within a three-yearly cycle. Consequently, 17 BV performance indicators, from a pool of approximately 110 for top-tier authorities, were identified as involving local authorities surveying users' satisfaction with services, with the first full round of surveys taking place in 2003/4. The seventeen indicators are displayed in Figure 1 and have been differentiated into four different categories according to the scope of satisfaction measured (Andrews 2004 provides further examples of types of user satisfaction indicators in local government).

In terms of composition, Figure 1 shows that three of the seventeen user satisfaction indicators measure users' satisfaction within the context of overall service delivery and require respondents to consider their satisfaction with universal or non-excludable services. The second category of user satisfaction indicators, in contrast, contains ten indicators that comprise more clearly what can be thought of as 'user' satisfaction indicators since they relate to specific users of services. These might be tenants of social housing, public transport users or social services recipients, for example. The two indicators in the third category, meanwhile, measure *dissatisfaction* with local services, and this may take the form either of users asking for changes to services or in terms of users making complaints. The last two indicators in Figure 1, finally, should not really be classified as user satisfaction indicators since they relate to participation rather than satisfaction.

THE LIMITATIONS OF PERFORMANCE/USER SATISFACTION INDICATORS

Such is the Government's confidence in the authenticity and reliability of its entire suite of local government performance indicators that it maintains that they enable robust comparisons to be made between the performance levels of different authorities, including different types of authorities, and within an authority over time (DETR 2000). Despite the broad claims made for performance/user satisfaction indicators,

1 Satisfaction with universal or non-excludable services

1 % of citizens satisfied with the overall service provided by their authority
2 % of people satisfied with cleanliness standards in their area
3 % of residents who feel fairly safe or very safe after dark/during the day while outside in the local authority area

2 Specific user satisfaction

1 % of people satisfied with recycling facilities, household waste collection and civic amenity sites
2 Satisfaction of (i) black and minority ethnic and (ii) non-black and minority ethnic tenants with the overall service provided by their landlord
3 Satisfaction of tenants of council housing with opportunities for participation in management and decision making in relation to housing services provided by their landlord
4 Benefit user satisfaction with accessibility, staffing issues and communications/information
5 % of users satisfied with local provision of public transport information
6 % of users satisfied with local bus services
7 % of planning applicants satisfied with the service received
8 % of library users who found the books/information they wanted or reserved it, and were satisfied with the outcome
9 % of residents, by targeted group, satisfied with the local authority's cultural and recreational facilities and activities
10 Users who said they were satisfied with the help they received from social services.

3 Complainants

1 % of those making complaints satisfied with the handling of those complaints
2 Users who said that if they asked for changes to services those changes were made.

4 Indicators of residents' participation rather than user satisfaction

1 % of residents who have participated in a local sporting activity or event, or have attended a local sporting facility in the last three months or in the last year
2 % of residents who have participated in a local arts activity, or attended a local arts facility in the last three months or in the last year

Figure 1: The scope of user satisfaction indicators in BV policy, 2003/4.
***Source*: DTLR (2002: 107).**

however, the increasingly vast amount of literature on them is largely illustrative of the long-standing problems that exist with them (Neely 1998). In seeking to tie this literature more specifically to the policies of BV and CPA, this section of the article focuses on a number of the more pertinent limitations of user satisfaction indicators. It

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

then draws attention to the particular types of problems created by the use of internal performance indicators when they are collected for performance comparison purposes. Finally, the section considers the merits of the two types of indicators in terms of their combined opportunities for public involvement.

Limitations of external indicators of performance

The accurate measurement of user satisfaction has shown itself to be a problematic process (Townsend 2000; Wisniewski 2001). A key reason for this relates to the construct validity of the concept of 'satisfaction' in terms of the extent to which it measures what it is supposed to measure (Bouckaert and Van de Walle 2003). A lack of construct validity can easily result, therefore, in satisfaction surveys not producing results that adequately represent the actual level of satisfaction experienced by service users (Townsend 2000). In particular, studies have shown that the extent to which users are able to assess accurately and objectively their satisfaction with different aspects of service delivery depends on the nature of the service for which they are being requested to make a judgement (Kelly and Swindell 2002). In some professional services, for example, users may not have the information or knowledge at their disposal to evaluate properly whether a satisfactory job has been undertaken. On other occasions, the judgements may depend on highly subjective and emotional issues with responses not, therefore, wholly reflecting the questions being asked. A recipient's satisfaction with the planning application service may, for example, be influenced by whether an applicant was successful, rather than on the basis of the actual quality of service received (Boyne 1996, 1997).

The level of reported satisfaction might also be influenced rather unreliably on whether one has sympathy for the organization's mission and whether one thinks what the agency is doing is good for society (Bouckaert and Van de Walle 2003). Equally, respondents might feel that a negative response would reflect badly on a service they use and as a result could lead to a cut in services (Harris *et al*. 2001), though the opposite is equally true, and a negative response might be perceived as increasing the likelihood of a desired service gaining more resources. Responses to satisfaction surveys may also reflect a 'courtesy bias', where service users tell the provider what they want to hear (Harris *et al*. 2001). Finally, it might just be plain difficult for a respondent accurately to know the boundaries of their local authority's jurisdiction, with consequential satisfaction levels being made about a neighbouring authority's performance or an aspect of a service for which the local authority is not responsible (Carter *et al*. 1992).

A further set of problems relates to the fact that satisfaction levels are a function of the inter-relationship between what users expect from services and their perceptions of services delivered (Reisig and Chandek 2001). If expectations exceed quality, then perceived quality will become less than satisfactory and hence user dissatisfaction will

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

increase (Donnelly and Shiu 1999). Thus, without evidence of the relative importance and expectations of various aspects of service, misleading conclusions could be reached about where future service priorities, and ultimately resources, should be directed (Wisniewski 2001). Alternatively, if asked to express their satisfaction about an aspect of service delivery, which they have little or no direct interest in, a user may reply rather disinterestedly. In diagnostic terms, therefore, satisfaction scores might be of dubious value in helping identify where performance improvement is most needed (Wisniewski 2001). In particular, it has been noted that the frequent reporting of user satisfaction results in terms of mean averages obscures differences in satisfaction levels for individual respondents (Townsend 2000) and across different geographical areas (Kelly and Swindell 2002). Finally, some commentators argue that service recipients will be more satisfied if they are allowed to make choices as this allows them to optimize their preference for the level and quality of a service against their willingness to pay (Osborne and Plastrick 2000; Brown 2004).

In all of these cases, therefore, there are reasons to doubt that the level of reported user satisfaction reflects accurately the actual quality of the service received. This is not to suggest, however, that the information collected from internal indicators of performance is necessarily going to be any more accurate in this regard.

Limitations of external performance indicators

Although there is a wide body of literature detailing the potential flaws of performance indicators (Neely 1998), one of the more specific problems with them in the context of British local government reform, is that they have not merely been introduced to provide local authorities with feedback information on the performance of their services but also form part of a performance comparison agenda which is replete with the threat of remedial actions for failing services. Such a regime might, therefore, create perverse incentives as local authorities attempt to manipulate their data in order to present their performance in a better light (Smith 1995; Cutler and Waine 1997; Bruijn 2002).

Thus, for example, Wiliam (2001) has drawn attention to the risk that if you make a particular performance indicator a policy target and make the stakes high enough, then the people at the sharp end will do everything they can to improve their score, including manipulation and game-playing. In fact, there are numerous examples of how local authorities have manipulated or game-played the collection, analysis and publication of performance indicators (see, for example, Boyne 1996, 1997; Jacobs and Manzi 2000). Such examples tend to be based around the selective interpretation of the definitions of 'performance' employed and such expressions as 'telephones *answered*', '*completed* claim' and even '*satisfaction* expressed'. Indeed, in this last regard, if, as some research evidence suggests, positive service interactions lead to higher ratings of service quality (Coupe and Griffiths 1999 in Brown 2004) then public managers might be

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

encouraged to focus more of their efforts on shaping the direct service experience rather than on improving actual service outcomes.

In summary, therefore, identified flaws in both the validity and reliability of the data collected from internally and externally collected performance indicators might not only reduce the likelihood of identifying a correlation between the two sets of indicators but might also make the public rather suspicious of the published claims of local government in related performance documentation.

Opportunities for public involvement

Indeed and more generally, the statutory processes of collecting administrative performance indicator data and conducting user satisfaction surveys have been criticized on the basis that they represent a rather individualistic and consumerist approach to service delivery and public involvement (Rowe and Shepherd 2002). In particular, Sanderson argues that the rise of user satisfaction indicators in the public sector represents a reduction in the 'relationship between government and citizens to the level of the commodified market exchange ... abstracted from the more fundamental questions about the extent to which priorities, policies and resources permit the satisfaction of social needs' (1996: 98).

Thus, while both sets of indicators embrace a model of public involvement which questions the worth of the democratic process in terms of giving complete information about the public's views on services, they provide no requisite attempt to empower the public collectively. Instead, their performance comparison properties necessitate a tightly controlled, top–down method of public involvement, with politicians and administrators, rather than the public, being the key determinants of the indicator/satisfaction definitions (Sanderson 1998, 2001). Given that the impact of local service delivery is felt mainly at the local level, this method of information giving and receiving

1 *One-way passive* – A one-directional form of involvement, which entails the local authority providing the public with such information as newsletters or information sheets
2 *Two-way passive* A non-participation method, which involves the public organisation seeking information from the recipient via, for example, a satisfaction survey
3 *Two-way active* – Involves a *dialogue* or discussion between public authority personnel and service recipients in the form of, for example, public meetings or user groups
4 *Power sharing* – Involves the entrustment of powers, responsibilities from public organization to local people in the form of, for example, neighbourhood forums

Figure 2: Conceptualizations of public involvement.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

makes accountability very remote and may partly explain why the public does not appear to express much interest in the performance data published by local authorities (Humphrey 2002).

The information provided or requested from the public in these ways might not, therefore, reflect aspects of service performance that matter most to the public or allow them to engage in discussions about service delivery in more meaningful ways. As demonstrated in Figure 2 the two processes can be simply contrasted with a more interactive two-way process of public involvement such as a public meeting or a discussion group which one would expect to provide more opportunity for debate and argument (Halvorsen 2003). It is perhaps unsurprising, therefore, that as suggested earlier, the collection of centrally defined user satisfaction data provides no direct mechanism to investigate why people are satisfied or not with local services nor does it facilitate the means to examine the precise criteria users are employing to evaluate their satisfaction.

It is against the above conceptual concerns about the value of performance/user satisfaction indicators to the public that attention is drawn to the operation of the performance/user satisfaction elements in practice. This is undertaken in the form of case study evidence drawn from a unitary authority's implementation of BV policy.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

PERFORMANCE/USER SATISFACTION INDICATORS IN PRACTICE

Selected initially as one of the BV pilot authorities which had chosen to conduct a BV review in the context of a former compulsory competitive tendering (CCT) activity and whose review was selected as part of a wider investigation into the impact of BV among internally and externally provided services, the information utilized from this case derived predominantly from the transcripts of interviews conducted with twenty-two interviewees. These had been specifically chosen on the basis that they had been directly involved in the review and included councillors, officers, managers and trade union representatives from within the reviewed services. Their responses, none the less, can only be accepted in relation to the impact of BV on the services in question and might not, therefore, be typical of local authority personnel as a whole. Meanwhile, analysis of key policy documents and personal attendance at a public consultation event supplemented the interview transcripts and helped to ensure methodological triangulation in relation to the issues under investigation (Denzin and Lincoln 1994).

The unitary authority's BV review was thematic (Filkin and Corrigan 1997) in orientation and encapsulated grounds maintenance and street cleansing services. The two services employed approximately 180 front-line and support staff and had a combined service budget of £6.5 million in 2000/1, of which £4.6 million was allocated to grounds maintenance and £1.9 million to street cleansing. Both services had

been subjected to two rounds of CCT and, with the exception of a small aboriculture (trees) contract, had been retained by the authority's own direct workforce. Although this case study forms part of wider ongoing research into the operation of BV and CPA, there are two key overlapping areas of interest identified for the purposes of this article. First, what was the role of performance/user satisfaction indicators in confirming the performance achievements of the reviewed services? Second, to what extent did the satisfaction data emulate the data collected from government officers? Both of these issues were examined in recognition of the exposure of the authority to the broader processes of performance comparison.

Obviously, the undertaking of a single case study within one particular service review area is going to be reasonably limited in terms of the breadth of issues covered. However, by drawing upon an area of activity, which has a number of internal and external indicators of performance in existence, some insightful and grounded findings can still be reached. Consequently, the evidence utilized here did not seek representation in the usual statistical sense to render its 'generalizations' worthy and valid but is instead representative in some way of a research topic (Lincoln and Guba 1985). Indeed, it is noticeable just how similar some of the issues raised in this case are with evidence collected by Copus and Raine's (2001) multiple case study evidence of the impact of BV on larger local authorities.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

Confirmatory role of performance indicators

The authority's aspirations for BV policy, as detailed in its first BV performance plan, presented a view of 'city governance' and the notion that the future success of the city was dependent on the actions of a whole range of organizations and not just the actions of the local authority. Within this vision, the authority viewed the private sector as a genuine source of job creation and a potential sponsor of public projects but not necessarily as a domain to outsource services. The local authority did, however, accept the Government's vision of continuous improvement and made a clear statement that competitive tendering would be enacted in cases of 'failing' in-house services. Within this framework, the authority's key BV objective was directed towards the demonstration of continuous *in-house* service improvement, as the following documented quotation suggests:

> Where the performance of a service is in line with the top twenty five per cent of national indicators and/or local indicators for both quality and cost and the service matches the best alternative supplier, then an in-house service delivery improvement plan should be prepared and implemented.
>
> (Internal performance management document)

Respondents explained that the overriding review objective to demonstrate in-house competitiveness by reference to statutory performance indicators was 'easier said than

done', however, because there were simply too few performance indicators to draw upon:

> It's actually quite difficult proving how we will be in the top twenty five per cent by reference to statutory performance indicators, of which there are not many. This leaves one with the task of developing local ones and then you have difficulties of comparing like for like, so it can be quite difficult.
>
> (Grounds, cleansing and waste manager)

Members of the project team, with foremost responsibility for conducting the review, also called into question the reliability of the statutory performance measures and spoke of a constant flux of changing definitions and guidelines. Thus, officers pointed out that of the seven available grounds maintenance and street cleansing performance indicators, two were entirely new, one was no longer required for external evaluation purposes and three were subject to change as part of the wider transition from Audit Commission to the then DTLR indicators (further changes have since occurred). These alterations are, furthermore, borne out by the information provided in Table 1. Thus, this shows that of the seven prevailing performance indicators in the two case services only one, the 'net cost per km^2 of keeping relevant land clean, for which local authority is responsible, clear of litter and refuse' remained unchanged during the period of the review. All of the others either faced changes in their definition, were new or ceased to exist.

Concerned by the lack of reliability that resided within the existing suite of national BV performance indicators while being aware also of the continuous need to demonstrate 'competitiveness', members of the project team explained that they

Table 1: Performance indicators for grounds maintenance and street cleansing

No.	*Service and indicator*	*Source/destiny*
Street cleansing		
1	Percentage of streets randomly inspected meeting acceptable or high standards of cleanliness	Subject to change
2	Level of satisfaction with the cleanliness	New BV PI[a]
3	Net cost per km^2 of keeping relevant land clean, for which local authority is responsible, clear of litter and refuse	BV PI
4	The time taken to remove fly-tipping	Subject to change
5	The net spend per head on street cleansing	Subject to change
Grounds Maintenance		
6	Cost per hectare	Ceased in 1998/9
7	Spending per head of population on cultural and recreational facilities and activities	New BV PI

[a]BV PI = Best value performance indicator.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

conducted a variety of benchmarking exercises to gain a more rounded and robust view of performance. None the less, respondents also described this process as being riddled with difficulties as the sheer amount of information obtained was difficult to digest and to analyse effectively. In particular, officers explained how various benchmarking measures could be combined, regressed and correlated in numerous ways so as to provide an almost infinite array of information. For example, the authority's relative street cleansing performance differed tremendously depending on whether the 'cost per km', 'cost per household', 'cost per head of population' or 'km cleaned per full-time employee' was used as the unit of measurement. As a result, a number of respondents exclaimed that the more the local authority made attempts to provide a fuller picture of performance, the cloudier the picture became.

A more pressing concern aired by respondents related to the consistency of performance indicator data gathered and the widely reported view that different local authorities collect their performance information in different ways, with a number even suspected of cheating. In the case of street cleansing, for example, project team officers explained not only that local authorities applied varying degrees of 'randomness of inspection', in terms of how often and when streets were inspected, but that numerous perceptions resided among inspectors with respect to what constituted 'a clean street'. As the street cleansing team leader explained:

> The dodgiest thing to me about the whole exercise is I don't think anyone has really grasped the need to lay out incredibly clear and precise guidelines about how you actually arrive at each performance indicator. The fear is that every authority is arriving at the figures in their own way and so are you really comparing like with like?

Interviewees also spoke of how their individual attempts to improve upon the accuracy of the methods and indicators used, were equally fruitless since they only served further to differentiate their authority from other authorities, which had not undertaken such efforts. As the street cleansing team leader further elucidated: 'We do it (performance monitoring) completely randomly with a computer-generated programme that throws out the roads and away we go. I know of other authorities that virtually follow the teams.'

Criticisms were not only raised in terms of whether the definitions employed were the most appropriate for the real objectives of the services concerned but also in terms of how certain levels of performance were arrived at and what this meant for factors and circumstances that are either beyond local control or a reflection of local choices consistency. As the grounds, cleansing and waste manager explained:

> There is so much discretion in street cleansing, I mean we do street washing, we do sign cleaning, we have graffiti teams, we have trouble-shooters and they are all non-statutory. And I have just seen a performance indicator that says 'we spent double on street cleansing than the average for all unitaries'. But that might be because some fifty percent of our contract is non-statutory, it's not because we are wasteful or anything else.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

Another respondent added:

> The performance side is important, but it needs to be done in context, and people have become besotted with where they are in the league, and we have a silly one on parks called 'cost per hectare' to maintain. Now some authorities have vast areas that they stick a few sheep in and that is it. Whereas here there are Royal parks which are very high on horticultural maintenance standards, very expensive in terms of price per metre. One of our central parks is perhaps thirty times that of a verge elsewhere.
>
> (Area Grounds Officer)

In many different ways, therefore, problems could be identified with the role of performance indicators in terms of accurately confirming the performance achievements of the local authority, and in turn its in-house competitiveness. None the less, while respondents at the management of service level complained of the limited coverage of formal performance indicators, they also felt that the sheer flexibility of BV allowed for numerous interpretations of performance data to be provided. Consequently, although opportunities for, and examples of, cheating and manipulation were identified, respondents also expressed a need for more guidelines and contextual recognition.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

Relationship between internal and external performance indicators

Attendance by the author at a public consultation event conducted by the local authority provided a good opportunity to examine the relationship between information derived from internal performance indicators and information derived from user satisfaction survey data. The reason being that during the event representatives from the authority spent time asking a group of twenty-nine attendees (residents, interest groups, staff, local business representatives) to set targets for three key performance indicators, one internal and two external, in support of the authority's commitment continuously to improve service performance. The three indicators are shown below respectively:

(1) Actual level of cleanliness of the city for grade A + B (national).
(2) Public satisfaction with the standard of cleanliness (national).
(3) Public satisfaction with standard of maintenance on housing estate greens (local).

It can be seen in parenthesis that of the two satisfaction indicators the first was nationally required and belongs to the category of 'non-excludable' services identified previously in Figure 1. The second user satisfaction indicator, meanwhile, belongs to the category of 'specific user' satisfaction and was, so respondents explained, created locally in response to concerns from local residents about the increasingly vast discrepancies in quality between the prestigiously maintained royal parks and deteriorating housing maintenance on estate areas. This was a telling request since as

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

Kelly and Swindell (2002) note, user satisfaction surveys are usually considered in the aggregate, (as in the case of the national cleanliness indicator above, with *city* cleanliness) whereas, real citizen satisfaction might actually be disaggregated into regions or neighbourhoods.

At the start of the consultation event, it was observed how the project team provided an explanation of the composition of the three performance indicators and followed this with a group debate concerning their desired future performance targets. During this debate, it was observed how a number of the participants expressed scepticism about both the authority's stated account of *current* service performance and also its *proposed* performance targets. In particular, participants complained that published accounts of service performance could be manipulated to managers' own ends and did not always tally with user experience. Thus, for example, although according to the procedures outlined in the Environmental Protection Act, 92 per cent of the city's streets were currently of a 'grade A or B' standard of cleanliness, only 24.1 per cent of respondents asked, as part of the 1,500-wide citizen's panel, were 'satisfied' with such cleanliness.

During interviews, members of the project team responded to these criticisms by pointing out the types of flaws that also resided in measures of user satisfaction. For example, a number of project team members explained how users' perceptions might be based on such unstable premises as 'the weather', 'people's moods' and 'visibility of service activity'. As a Street Cleansing Team Leader later elucidated: 'We get a lot of different views depending on various triggers, how often they think they see the bloke coming down the street to clean it, rather than the amount of litter'.

Wishing not to downplay all three indicators and by implication the entire consultation process, however, during the actual event, it was observed how the project explained to participants the importance of entering into the spirit of BV and of the statutory need to provide future performance targets. Such targets, the project team maintained, would form the basis of auditors' and inspectors' judgements of the service and should, therefore, be taken seriously. The task of setting of performance targets was, therefore, treated very much as a process that had to be completed, with the project team reassuring participants that real improvements in service delivery, whether formally recognized or not, would be noted in reality.

Attendees duly endorsed the authority's three performance targets, if only perhaps, on the basis that they signalled the authority's commitment to improve services. Indeed, the level of improvement targeted on the two satisfaction indicators was really quite impressive with a two-and-a-half-fold increase required on the 'standard of cleanliness' from 17.1 per cent to 45 per cent by 2005 and a doubling of performance improvement on the standard of maintenance from 24.1 per cent to 50 per cent by 2006. In contrast, the far smaller targeted increase in improvement on the internal indicator of performance – from 92 per cent to 97.1 per cent – reflected the fact that the existing level of performance was much higher with, therefore, less room for

improvement. This level of targeted improvement was, none the less, also sufficient to reach the then statutorily required upper quartile position.

Finally, aside from the practical suggestions that were discussed by attendees, in terms of how the desired level of improvement might be ascertained, one respondent somewhat cynically suggested that there was a much simpler solution to the problem of how to improve service performance. This was to remove the 'neither satisfied nor dissatisfied' response category from the associated user satisfaction surveys since in his view such a change would provide a potential 34 per cent further satisfied respondents! Not only did this suggestion provide another example of how the results of user satisfaction indicators can be manipulated to managers' own ends but also a further example of how preoccupation with being seen to improve can interfere with the process of actual service delivery and enhancement.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

CONCLUSIONS

This article has examined the contemporary use of performance/user satisfaction indicators within the context of the British government's policies of BV and CPA. Conceptual issues relating to each of the two methods of measurement and evaluation were identified and supplemented by case study evidence of their use in practice. The evidence from the case study identified a number of the issues raised in the literature and, therefore, leant support to existing doubts about the extent to which performance/user satisfaction indicators provide valid, reliable and consistent information about the performance of local services. The primary evidence also highlighted concerns about the extent to which performance/user satisfaction indicators are capable, on their own, of demonstrating in-house competitiveness. If anything, the need for the authority to be seen to be able continuously to improve the performance of local services by reference to performance indicators prohibited the undertaking of a more involved and empowering process of public involvement. None the less, it was owing to the service review team's willingness to discuss, in more general terms, areas for improvement with the participants of the consultation event that the authority's three key performance targets were endorsed.

Given these findings, therefore, what can be expected of the future of performance/user satisfaction indicators in British local government? Certainly, despite widespread problems reported here and elsewhere it does not appear to be the case that they are about to be disbanded. This is especially so given the enhanced status of user satisfaction indicators by both major British political parties in recent years. What seems more certain, however, is that a number of revisions will be made to the current suite of performance/user satisfaction indicators in order to ensure an even more robust suite in the future. This has certainly been the trend since the introduction of both BV and CPA, with annual changes to the definition and coverage of performance indicators being instigated. While available research evidence suggests that marked improvements

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

have been made over time (Boyne 2002), the same research has also, none the less, argued that there is room for further revision and improvement thus leading one to question what the desired end status is for the role of performance/user satisfaction indicators in local government?

On the one hand, it would not seem unreasonable to suggest that eventually there will be a suite of performance indicators that not only measure what they purport to measure but also remain consistent over time and are subject to no further change. Although this end state of affairs would represent an instrumentally rational solution to the types of problems introduced by performance indicators it would not necessarily resolve a number of the substantive criticisms of performance indicators. For example, in providing a final set of performance indicators a decision would have to be made regarding the selectivity of indicators. Such a decision will encounter, however, the paradox that the greater the selectivity the greater the focus, but at the same time, the less likely it will be that the performance indicators reflect all the important dimensions of performance (Rogers 1999). Likewise, in reaching a final set of performance indicators it is inevitable that some stakeholder interests will be better represented than other stakeholders and this could be challenged on the grounds of fairness. A single level of performance can be characterized as 'good' or 'bad', for example, depending on whether one is a manager, a user, a non-user or an employee (Cutler and Waine 1997). As Boyne (2003) further suggests there is, after all, no universal set of criteria for evaluating whether improvement has occurred with each particular constituency using different criteria to judge the standard of public services.

On the other hand, there are good reasons for not believing that a final set of robust and unchanging indicators will be created. One explanation for this is that such an end state of affairs would be out of keeping with the mantra of 'continuous improvement' and the tendency for the Audit Commission and the Government to demand the same standards of themselves as they demands of others. Consequently, one can expect the types of arguments noted earlier to continue in future debates and discussions. For the time being, meanwhile, one can expect the hitherto process of indicator refinement and revision to continue, albeit at the risk of serving to devalue current representations of performance and also eroding the likelihood of there being a stable basis of longitudinal comparison.

Given this more likely outcome, and in recognition that it signals the continual use of an imperfect set of performance/user satisfaction indicators, the necessity for alternative and perhaps more participatory forms of public involvement remains as strong as ever. Indeed, would we really want to reach a situation where, for example, in response to the question 'How satisfied are you with your local council?' respondents replied 'Not at all. It was not categorized as ''excellent'' and/or should have been higher up the league table.' While such a response would, in theory, achieve a positive correlation between the two types of indicators it might also signify the reduction in local voice and/or the error of conceptual empiricism.

ACKNOWLEDGEMENT

The author is grateful for the helpful comments and suggestions of two anonymous referees. He would also like to thank all those people who gave their time to speak about their experiences and assisted in other ways. All interpretations, errors and omissions are the responsibility of the author.

REFERENCES

Andrews, R. (2004) Analysing Deprivation and Local Authority Performance: The Implications for CPA, *Public Money and Management*. 24: 1 pp19–26.

Audit Commission (1999) *From Principles to Practice: A Consultation Document*, London: Audit Commission.

—— (2000) *Seeing Is Believing: How the Audit Commission Will Carry Out Best Inspections in England*, London: Audit Commission.

—— (2002a) *A Picture of Performance: Early Lessons from Comprehensive Performance Assessment*, London: Audit Commission.

—— (2002b) *Comprehensive Performance Assessment: Scores and Analysis of Performance for Single Tier and County Councils, 2002*, London: Audit Commission.

—— (2004a) *A Modern Approach to Inspecting Services: A Consultation on How the Audit Commission Will Inspect Local Services from 1 April 2005*, London: Audit Commission.

—— (2004b) *Proposals for Comprehensive Performance Assessment from 2005*, London: Audit Commission.

Bouckaert, G. and Van de Walle, S. (2003) Comparing Measures of Citizen Trust and User Satisfaction as Indicators of 'Good Governance': Difficulties in Linking Trust and Satisfaction Indicators, *International Review of Administrative Sciences*. 69: 3 pp329–43.

Boyne, G. (1996) Scale, Performance and the New Public Management: An Empirical Analysis of Local Authority Services, *Journal of Management Studies*. 33: 6 pp809–26.

—— (1997) Comparing the Performance of Local Authorities: An Evaluation of the Audit Commission Indicators, *Local Government Studies*. 23: 4 pp679–94.

—— (2002) Concepts and Indicators of Local Authority Performance: An Evaluation of the Statutory Frameworks in England and Wales, *Public Money and Management*. 22: 2 pp17–24.

—— (2003) Sources of Public Service Improvement: A Critical Review and Research Agenda, *Journal of Public Administration Research and Theory*. 13: 3 pp367–94.

Boyne, G. and Enticott, G. (2004) Are the 'Poor' Different? The Internal Characteristics of Local Authorities in the Five Comprehensive Performance Assessment Groups, *Public Money and Management*. 24: 1 pp11–8.

Brown, T. (2004) The Impact of Service Experience and Service Type on Citizen Satisfaction with Public Services. Paper presented at the 2004 meetings of the Association of Policy Analysis and Management, Atlanta, GA, November.

Bruijn, H. (2002) Performance Measurement in the Public Sector: Strategies to Cope with the Risks of Performance Measurement, *International Journal of Public Sector Management*. 15: 7 pp578–94.

Carter, N., Day, P. and Klein, R. (1992) *How Organisations Measure Success*, London: Routledge.

Copus, C. and Raine, J. (2001) *Best Value and Local Councils Report*, Birmingham: Institute of Local Government Studies.

Coupe, T. and Griffiths, M. (1999) The Influence of Police Actions on Victim Satisfaction in Burglary Investigations, *International Journal of the Sociology of Law*. 27: 4 pp413–31.

Cutler, T. and Waine, B. (1997) *Managing the Welfare State: Text and Sourcebook*, Oxford: Berg.

Denzin, N. and Lincoln, Y. (1994) *Handbook of Qualitative Research*, London: Sage Publications.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

Department of the Environment, Transport and the Regions (DETR) (1999) *Circular 10/99 Local Government Act 1999, Part 1: Best Value*, London: Crown.

—— (2000) *Best Value Performance Indicators 2000/01*, London: Crown.

Department of Transport, Local Government and the Regions (DTLR) (2001) *Strong Local Leadership Quality Public Services*, London: Crown.

—— (2002) *Best Value Performance Indicators for 2002/03*, London: Crown.

Donnelly, M. and Shiu, E. (1999) Assessing Service Quality and Its Link with Value for Money in a UK Local Authority's Housing Repairs Service Using the SERVQUAL Approach, *Total Quality Management*. 10: 4 pp498–506.

Filkin, J. and Corrigan, P. (1997) *Learning from the Pilot Bids – an Analysis of the 150 Bids by Local Authorities to Pilot Best Value*, London: Local Government Management Board.

Halvorsen, K. (2003) Assessing the Effects of Public Participation, *Public Administration Review*. 63: 5 pp535–43.

Harris, J., Westerby, M., Hill, T., Sellers, T. and Hutchinson, A. (2001) User Satisfaction: Measurement and Interpretation, *Journal of Family Planning and Reproductive Health Care*. 27: 1 pp41–5.

Humphrey, J. (2002) A Scientific Approach to Politics? On the Trail of the Audit Commission, *Critical Perspectives on Accounting*. 13: 1 pp39–62.

Jacobs, K. and Manzi, T. (2000) 'Performance Indicators and Social Constructivism: Conflict and Control in Housing Management', *Critical Social Policy*. 20: 1 pp85–103.

Kelly, J. and Swindell, D. (2002) A Multiple Indicator Approach to Municipal Service Evaluation: Correlating Performance Measurement and Citizen Satisfaction across Jurisdictions, *Public Administration Review*. Sep/Oct pp610–19.

Lincoln, Y. and Guba, E. (1985) *Naturalistic Inquiry*, Beverly Hills, CA: Sage Publications.

Martin, S. and Hartley, J. (2000) Best Value for All? An Empirical Analysis of Local Government's Capacity to Implement Best Value Principles, *Public Management*. 2: 1 pp43–57.

Martin, S., Davis, H., Bovaird, T., Downe, J., Geddes, M., Hartley, J., Lewis, M., Sanderson, I. and Sapwell, P. (2001) *Improving Public Services: Evaluation of the Best Value Pilot Programme*, London: DETR.

Neely, A. (1998) Three Models of Measurement: Theory and Practice, *International Journal of Business Performance Management*. 1: 1 pp 47–64.

Office of the Deputy Prime Minister (ODPM) (2003) *Circular 03/2003*, London: Crown.

Office of Public Services Reform (OPSR) (2003) *Inspecting for Improvement: Developing a Customer Focused Approach*, London: Crown.

Osborne, D. and Plastrick, P. (2000) *The Reinventor's Fieldbook: Tools for Transforming Your Government*, San Francisco, CA: Jossey-Bass.

Rashman, L. and Radnor, Z. (2005) Learning to Improve: Approaches to Improving Local Government Services, *Public Money and Management*. 25: 1 pp19–26.

Reisig, M. and Chandek, M. (2001) The Effects of Expectancy Disconfirmation on Outcome Satisfaction in Police–Citizen Encounters, *Policing: An International Journal of Police Strategies and Management*. 24: 1 pp88–99.

Rogers, S. (1999) *Performance Management in Local Government*, London: Pitman Publishing.

Rouban, L. (1995) 'The Civil Service Culture and Administration Reform' in B. Peters and D. Savoie (eds) *Governance in a Changing Environment*. Montreal & Kingston: Canadian Centre for Management Development and McGill-Queen's University Press.

Rowe, R. and Shepherd, M. (2002) Public Participation in the New NHS: No Closer to Citizen Control, *Social Policy and Administration*. 36: 3, pp275–90.

Sanderson, I. (1996) Evaluation, Learning and the Effectiveness of Public Services, *International Journal of Public Sector Management*. 9: 56 pp90–108.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015

—— (1998) Beyond Performance Measurement? Assessing Value in Local Government, *Local Government Studies*. 24: 4 pp1–25.

—— (2001) Performance Management, Evaluation and Learning in 'Modern' Local Government, *Public Administration*. 79: 2 pp297–313.

Smith, P. (1995) On the Unintended Consequences of Publishing Performance Data in the Public Sector, *International Journal of Public Administration*. 18: 2/3 pp277–310.

Townsend, M. (2000) Quantitative Measurement of Service User Preferences for Mental Health Care: A Comparison between Consumer Satisfaction Surveys and Conjoint Analysis, *Journal of Psychiatric and Mental Health Nursing*. 7: 3 pp287–8.

Wiliam, D. (2001) What Is Wrong with Our Educational Assessments and What Can Be Done About It, *Education Review*. 15: 1 pp57–62.

Wilson, J. (2004) Comprehensive Performance Assessment – Springboard or Dead-Weight?, *Public Money and Management*. 24: 1 pp63–8.

Wisniewski, M. (2001) Using SERVQUAL to Assess Customer Satisfaction with Public Services, *Managing Service Quality*. 11: 6 pp380–98.

Downloaded by [Selcuk Universitesi] at 03:11 21 April 2015